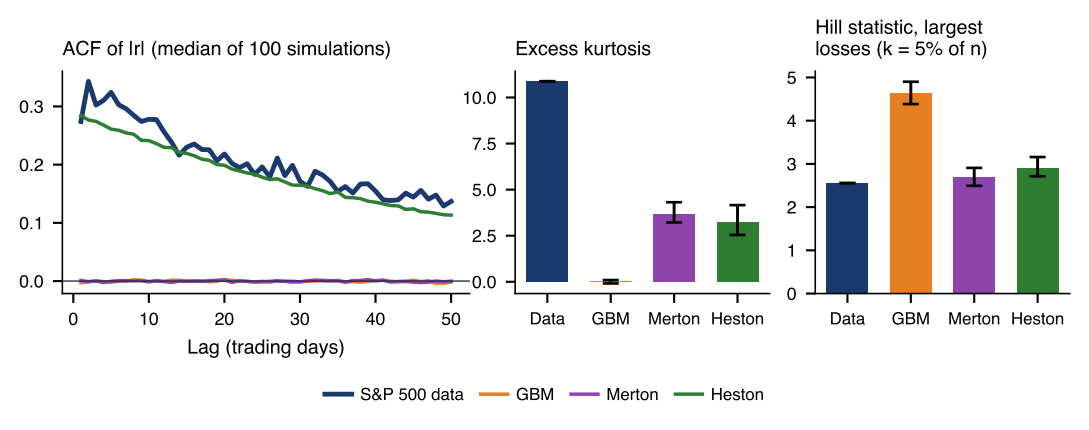
ACF of lrl (median of 100 simulations)
0.3
0.2
0.1
0.0
0
10
20
30
40
50
Lag (trading days)
Excess kurtosis
10.0
7.5
5.0
2.5
0.0
Data
GBM
Merton
Heston
Hill statistic, largest losses (k = 5% of n)
5
4
3
2
1
0
Data
GBM
Merton
Heston
S&P 500 data
GBM
Merton
Heston